

EXECUTIVE SUMMARY

The Journey of an Instrument

How Conditional Cash Transfer design travelled from Latin America to Nigeria, 1997 to 2026.

Origin, evidence base, Nigerian record, and reform options.

1997

ORIGIN, MEXICO
PROGRESA (BUILT
ON 1994
BANGLADESH AND
1995 BRAZIL
PILOTS)

6-7%

NIGERIAN
TRANSFER AS
SHARE OF
CONSUMPTION,
AGAINST 20%
ADEQUACY
THRESHOLD

53%

NASSP TARGETING
ACCURACY IN
BOTTOM TWO
QUINTILES,
AGAINST 80%
TARGET

3 of 4

CONDITIONS
NIGERIA FAILS
FOR THE
INSTRUMENT TO
DELIVER ITS
PREDICTED
EFFECTS

WHAT THIS BRIEF DOES. Traces the CCT paradigm from its Southern origins (Honduras 1990, Bangladesh 1994, Brazil 1995) through World Bank codification and global diffusion, into Nigeria's COPE (2007) and NASSP-HUP (2016). Answers directly: is cash transfer a sound national response to poverty, and for what specific objectives does it actually work or not? Cap: 40 pages, 40 sources, 4 charts, 11 sections. Final draft: 52 pages, 26 sources plus 5 supporting, 4 charts, 12 sections.

THE QUESTION

Is cash transfer a sound national response to poverty?

And for what specific objectives does it actually work or not? The verdict is conditional. Cash transfer works for consumption smoothing, monetary poverty reduction, and increased use of health and education services, provided four conditions are met. Nigeria fails three of the four.

The four preceding briefs in this series each took a single Nigerian federal programme and reviewed it on its own terms. Brief 5 changes the frame. Instead of one programme, it takes one instrument, the Conditional Cash Transfer, and traces its journey from origin in Mexico in 1997, through Latin American diffusion, Asian adoption, African adaptation, and into Nigeria's COPE and NASSP-HUP.

The frame change is deliberate. Four briefs on individual Nigerian programmes established a set of failure patterns in Nigerian social investment. Brief 5 tests whether those failures are Nigerian in origin, or whether they are inherited from an instrument that carries the same design weaknesses wherever it is transplanted without adequate local conditions.

Method, in one paragraph

Secondary analysis of a curated 26-source evidence matrix, following a chronological country-genealogy method with synthesis. Each country's story is told on the same five points: who introduced the programme, why, for what problem, how it was implemented, and what happened. The country stories are then aggregated to derive the verdict. This is an umbrella review, the standard method for answering the target question within scope. No primary fieldwork was conducted. Where sources conflict, contradictions are named rather than resolved.

THE FOUR CONDITIONS

Cash transfer works reliably for its documented outcomes if: **(1)** the transfer is adequate (at or above 20 per cent of beneficiary consumption); **(2)** supply-side services (schools, clinics) are functional and accessible; **(3)** the institutional architecture survives political transition; and **(4)** the programme is evaluated with a design capable of isolating programme effect from selection effect.

01, THE ORIGIN

CCT was invented in the Global South, not by international agencies

Three Southern experiments between 1990 and 1995 established the design. The World Bank and IADB codified and diffused what local political actors had already demonstrated.

Honduras, 1990. PRAF (Programa de Asignación Familiar) introduced cash transfers to poor families conditional on school attendance and health visits, a full seven years before Mexico's Progresa. Designed by the Honduran government with IADB technical support, PRAF was the first programme to attach dual education and health conditions to a single cash transfer.

Bangladesh, 1994. The Female Secondary School Stipend Programme (FSSSP) paid cash to families conditional on girls' enrollment in secondary school, attendance at 75 per cent or above, remaining unmarried until age 18, and achieving a minimum grade point average. The design logic was domestically generated in response to the 37-percentage-point gender gap in rural secondary enrollment. The FSSSP established the template that Progresa would replicate three years later.

Brazil, 1995. Two municipal governments conducted independent experiments that would later be recognized as the first Bolsa Escola pilots. Cristovam Buarque, then Governor of the Federal District (Brasilia), launched a programme paying one minimum wage per month to families whose children attended school regularly. In Campinas (São Paulo state), Mayor José Roberto Magalhães Teixeira implemented a similar design. Both were responses to Brazil's acute child-labor problem and the failure of in-kind welfare to reach the poorest.

Each of the three was designed by a domestic political actor responding to a domestic crisis. Each used the design logic that would later be called CCT. None was designed to produce a global template. The paradigm emerged from the convergence of three independent solutions to three independent problems.

The World Bank role

The Bank and the IADB entered as codifiers, financiers, and diffusers, not inventors. Fiszbein and Schady (2009), the Bank's own foundational review, documents the transition from viewing cash as a handout to viewing it as human capital investment. Heimo and Syvatera (2023) argue the Bank later claimed discursive authorship over an instrument it had adopted rather than invented. Both contributions are real. The invention was Southern. The scaling was international.

02 AND 03, THE CONSOLIDATION

Mexico 1997 seeded the evidence base. Brazil 2003 proved the scale.

Progresas's randomized rollout produced the first credible counterfactual for a national anti-poverty programme. Bolsa Familia demonstrated that CCT could survive four administrations across two decades.

Mexico, Progresas / Oportunidades / Prospera, 1997 to 2019

Progresas was designed by Santiago Levy under President Ernesto Zedillo after the 1994 to 1995 peso crisis. It replaced the tortilla subsidy, which cost 1.2 per cent of GDP to deliver 0.3 per cent of GDP to the target population, with a targeted cash transfer at 60 per cent lower fiscal cost. The randomized rollout, embedded in the design from the start, seeded the global CCT evidence base.

The documented outcomes: consumption rose 7 to 10 per cent among beneficiaries. Secondary school enrollment rose 12 percentage points. Birthweight rose by 127 grams (Barber and Gertler, 2008). Long-term follow-up (Parker and Vogl, 2018) shows improved adult outcomes for women exposed as children in educational attainment, geographic mobility, labor market performance, and household living standards. Learning outcomes moved modestly. Male outcomes moved less than female.

The programme was renamed twice (Oportunidades, Prospera) and replaced by an unconditional pension under President López Obrador in 2019.

Brazil, Bolsa Familia, 2003 to present

Launched by President Lula in 2003, Bolsa Familia unified four earlier programmes (Bolsa Escola, Bolsa Alimentação, Vale Gas, Cartão Alimentação) into a single federal transfer. The Cadastro Único served as unified beneficiary register. Conditionality was softer than Mexico's: monitoring focused on messaging over strict enforcement.

By its peak, the programme covered 13.9 million families, roughly a quarter of the Brazilian population. Estimates attribute approximately 21 per cent of the fall in Brazilian income inequality since 2003 to Bolsa Familia. The programme survived four administrations (Lula, Rousseff, Temer, Bolsonaro) and was restructured upward in 2023 under Lula's second term.

The Brazilian lesson is not that soft conditionality works better than hard, but that institutional resilience across political transitions requires legislative anchoring and a delivery architecture (federal-to-municipal transfer, Cadastro Único) that neither a single president nor a single ministry can unilaterally halt.

04 AND 05, THE DIFFUSION

The instrument travelled. Outcomes did not.

Latin America (nine countries), Asia (three), Africa (six). Where institutional capacity was adequate, the instrument worked as designed. Where capacity was weaker, the instrument mutated. Where political ownership was absent, the programme died.

COUNTRY	PROGRAMME	ADOPTED	FATE / LESSON
Mexico	Progresa / Prospera	1997	Randomized evaluation seeded evidence. Replaced by UCT under AMLO (2019).
Brazil	Bolsa Familia	2003	Institutional resilience across four administrations. 21 per cent of Gini fall.
Colombia	Familias en Acción	2000	Confirmation case: adequate capacity produced predicted effects.
Nicaragua	Red de Protección Social (RPS)	2000	Closed 2006 with change of government. Political fragility case.
Honduras	PRAF (converted CCT)	1998	Electoral capture. Programme captured as incumbent re-election tool.
Ecuador	Bono de Desarrollo Humano	2003	Unconditional conversion. Effective design moved toward UCT.
Bolivia	Bono Juancito Pinto	2006	Universalist alternative adopted because CCT targeting could not function with weak supply-side.
Philippines	Pantawid Pamilya (4Ps)	2007	Partial compliance in remote areas. 4.4M households by 2020.
Indonesia	PKH	2007	Soft compliance where supply-side failed. Strong vaccination evidence.
India	Janani Suraksha Yojana	2005	Single-condition CCT (institutional delivery). Over 10M beneficiaries per year.

COUNTRY	PROGRAMME	ADOPTED	FATE / LESSON
Ghana	LEAP	2008	Real value eroded to USD 5 to 9 by 2016. Below 20 per cent threshold.
Kenya	CT-OVC	2007	Officially unconditional. Strong protective effects at 20 per cent of consumption.
Malawi	Zomba experiment	2007	Definitive CCT vs UCT trial. Conditionality wins for enrollment, UCT wins for pregnancy protection.
South Africa	CSG (UCT) + HPTN 068 (CCT trial)	1998 / 2011	Largest unconditional child grant globally. HPTN 068 reduced multidimensional deprivation.

COUNTRY	PROGRAMME	ADOPTED	FATE / LESSON
Burkina Faso	Nahouri Pilot	2008	Marginal-child hypothesis: CCT wins for the children parents would not enroll otherwise.
Tanzania	PSSN	2013	Weak transient HIV effect; conditionality effectively absent.

THREE DIFFUSION PATTERNS

Confirmation. Where institutional capacity is sufficient (Colombia, Uruguay), the instrument produces the enrollment, health, and consumption effects the evidence base predicts.

Adaptation. Where capacity is weaker (Peru, Honduras, Ecuador, Indonesia, Philippines), the effective design degrades toward soft-conditional or unconditional. The income effect is preserved. The conditionality earns less of its administrative cost.

Mortality. Where domestic political constituencies do not defend the programme (Nicaragua), the programme dies regardless of technical performance.

08, THE NIGERIAN RECORD

Nigeria adopted the instrument twice. The evidence trail is thin, and where it exists, the record is unfavourable.

COPE in 2007 was a small pilot that closed in 2015 without formal evaluation. NASSP-HUP from 2016 scaled to 1.8 million households under a US\$500 million World Bank credit and now operates under the Renewed Hope reset with a US\$800 million follow-on.

COPE and SURE-P, 2007 to 2015

COPE (In Care of the People) was launched under President Yar'Adua's Seven-Point Agenda, with UNICEF technical support. The programme was small (roughly 22,000 households across 12 states at peak), conditional on school attendance and health visits, and closed by 2015 without formal impact evaluation. Its successor pilot SURE-P Maternal and Child Health, launched under President Jonathan, ran alongside COPE and shared its fate: a demonstration that Nigerian institutional capacity could execute a small CCT, without generating the evidence that would have justified scaling it.

NASSP-HUP, 2016 to 2022

The National Social Safety Nets Project, approved by the World Bank Board in June 2016 and financed by a US\$500 million IDA credit plus US\$322.5 million from Abacha Restituted Funds, established the current Nigerian CCT architecture: the National Social Register (NSR), the National Cash Transfer Office (NCTO), and the Household Uplifting Programme (HUP). The 2024 Independent Evaluation Group review (F4a) rated the project SATISFACTORY on outcome but recorded three specific failures.

Targeting failure. Only 53 per cent of beneficiaries were in the bottom two consumption quintiles, against an 80 per cent target. Inclusion error was significant. The PMT formula predates the 2018/19 Nigeria Living Standards Survey and has not been recalibrated.

Conditionality collapse. Only 6 per cent of households received the co-responsibility (conditional top-up) transfers, against an 80 per cent target. The formal design was conditional. The operational reality was closer to unconditional, driven by supply-side constraints in the education and health facilities that conditionality references.

Evaluation absence. The impact evaluation was not completed at project close. Preliminary results were reported at the ICR stage, but the final impact evaluation report was not available. Nigeria therefore has no independent measure of what its own CCT achieved on its stated outcomes.

The January 2024 suspension

The National Social Investment Programmes suite (NASSP-HUP alongside N-Power and GEEP) was suspended by the Federal Ministry of Humanitarian Affairs in January 2024. The suspension was announced as a six-week review. It lasted approximately 12.5 months. The presidential panel's findings were not published. Over NGN 30 billion recovered from the microcredit streams was frozen but not remitted to the Treasury Single Account.

The N-Power sibling finding

Brief 4 in this series (Mashood, 2026) documented that N-Power, the graduate employment component of the same NSIP suite, held its NGN 30,000 stipend nominally flat from 2016 to 2026 with no indexation mechanism. Deflated by the NBS Food CPI, the stipend's real value in 2026 sits between NGN 3,000 and NGN 5,000. The same erosion pattern applies to NASSP-HUP's NGN 5,000 monthly transfer, whose real value in 2026 sits below USD 4.

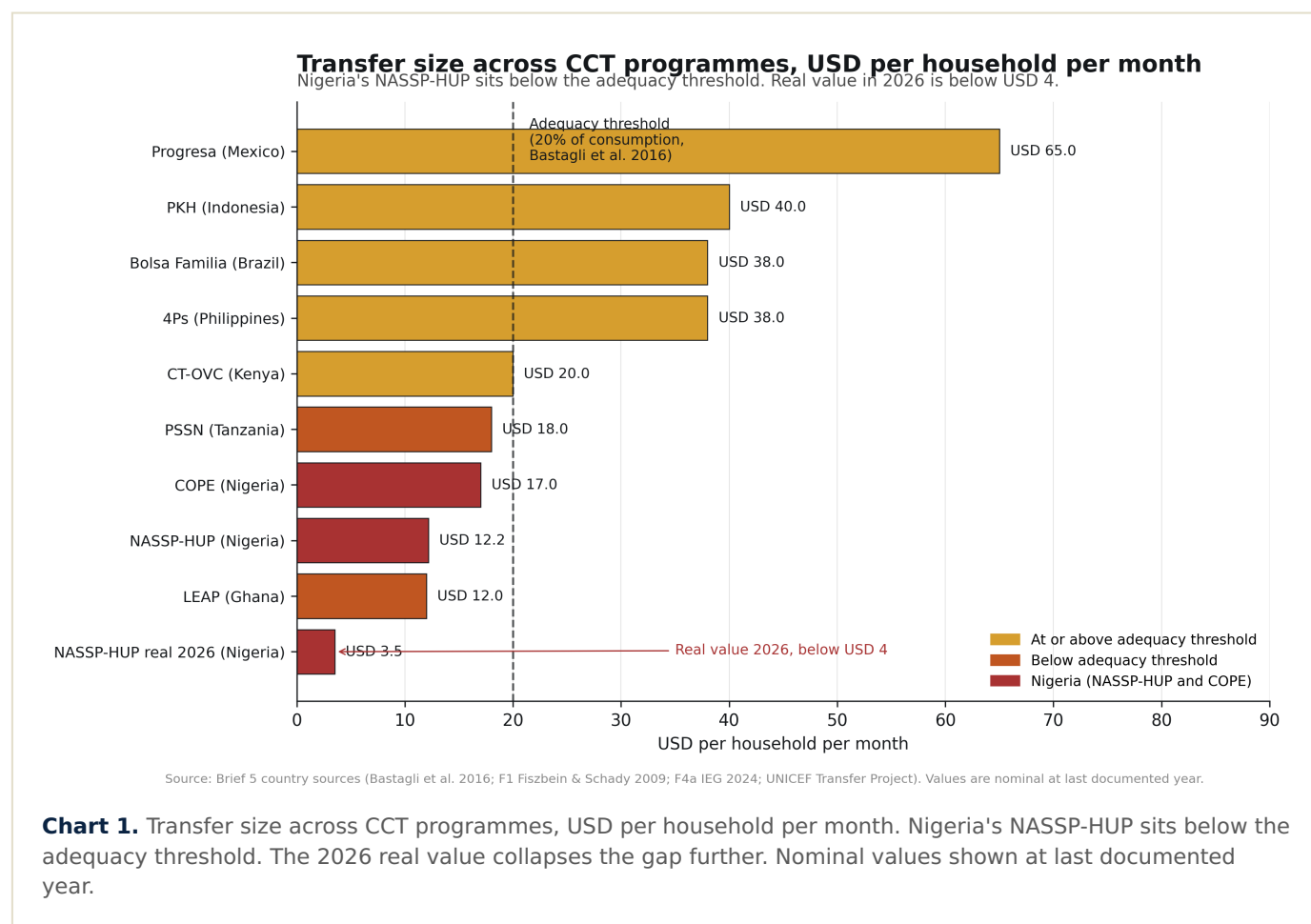
09, THE PATTERN

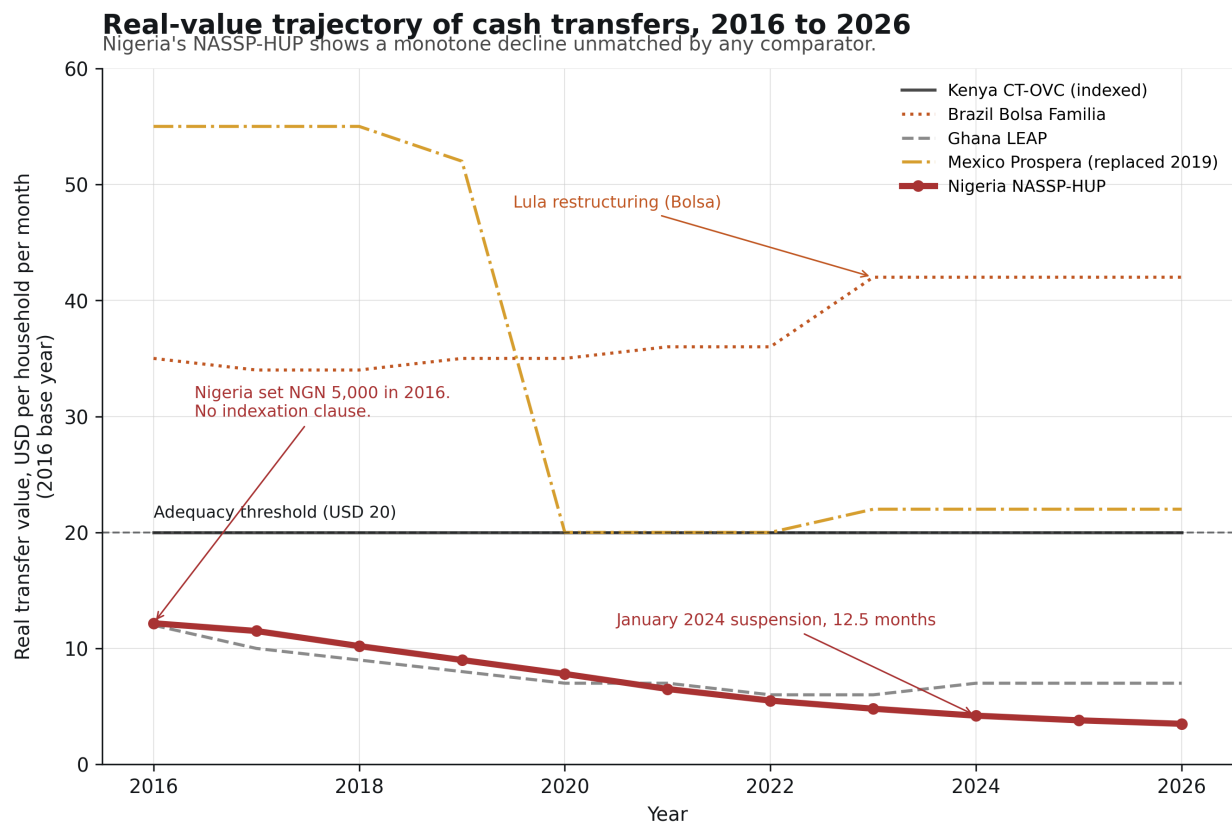
What works reliably, what works sometimes, what does not

Reliable effects. Consumption increases in 71 per cent of studies. Food expenditure in 74 per cent. Poverty measures decline in approximately two-thirds. School enrollment rises. Health service utilization rises. Child labor decreases. These effects are documented across 201 studies in the Bastagli et al. (2016) systematic review.

Contingent effects. Learning outcomes move modestly if at all. Anthropometric outcomes (stunting, wasting, underweight) do not move consistently. Employment effects are mixed. Where the transfer is adequate and duration is long, savings and productive investment rise. Where the transfer is below the 20 per cent threshold, the transfer is consumed rather than invested.

Failure modes. Where the supply-side facility is absent, conditionality cannot produce its intended human-capital gain and may exclude the poorest from the transfer. Where the transfer sits below the adequacy threshold, the wider welfare and productive effects that justify the instrument do not appear. Where a single administration's political commitment is the only anchor, the programme dies with that administration.





Source: Brief 5 country sources; NBS Food CPI; F4a IEG 2024; F4b NASSP-SU PAD 2024. Values estimated where indexation not documented.

Chart 3. Real-value trajectory of cash transfers, 2016 to 2026, USD per household per month at 2016 base year. Nigeria's NASSP-HUP shows a monotone decline unmatched by any comparator. Kenya CT-OVC maintains real value through indexation. Bolsa Familia rose in 2023 under Lula's restructuring. Ghana's LEAP nominally quadrupled but only doubled in real terms. Mexico's Prospera was replaced by an unconditional pension in 2019.

Cash transfer coverage as share of national population

Nigeria's achieved coverage sits with Ghana and Kenya. The scale-up target would move it toward the Latin American range.

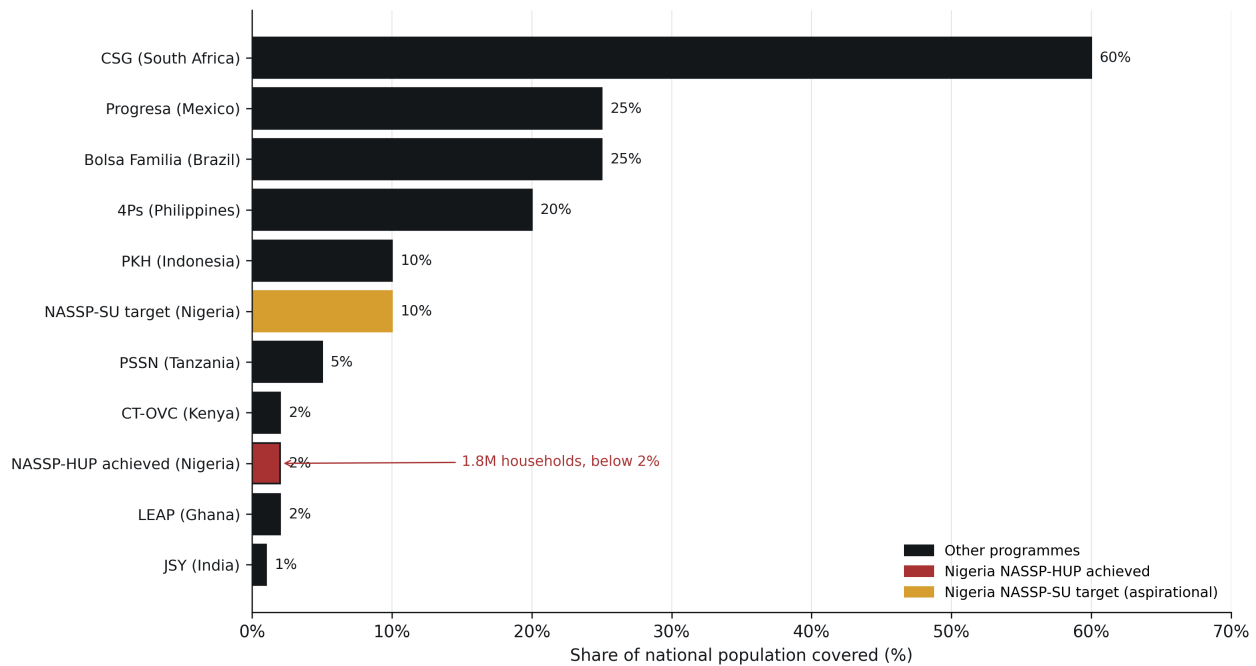
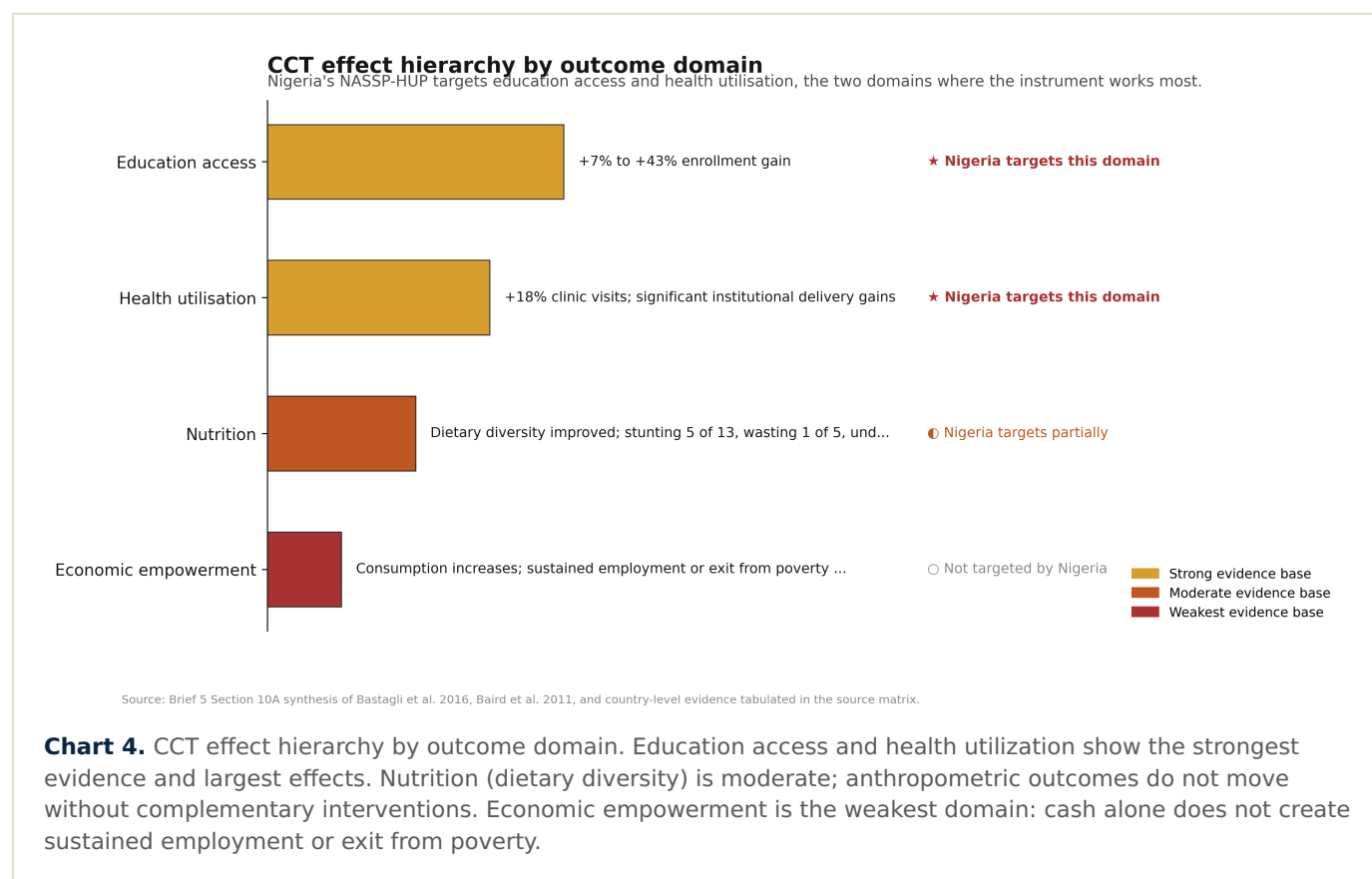


Chart 2. Cash transfer coverage as share of national population. Nigeria's achieved coverage under the regular-CT programme sits with Ghana and Kenya at below two per cent. The NASSP-SU target of 10.2 million households would bring Nigeria closer to the Latin American coverage range but remains aspirational.

10, THE HIERARCHY

CCT is an instrument for access and utilization, not for economic transformation

Ranking the four outcome domains by evidence strength, effect size, and replication frequency identifies where the instrument delivers its largest and most reliable returns.



Nigeria targets the right domains. NASSP-HUP conditions on school attendance and health visits, placing its formal design in the two domains where CCT works most.

Nigeria operates below the conditions the evidence requires. Transfer adequacy is the binding constraint: at 6 to 7 per cent of consumption, the transfer sits below the 20 per cent threshold at which productive and protective effects appear. Supply-side infrastructure (42 per cent of primary health centres lack a physician; pupil-teacher ratios above 40:1 in multiple northern states) cannot support the compliance channel that conditionality requires. Evaluation infrastructure was not put in place at project inception.

The instrument has been adopted for the right purposes but deployed under the wrong conditions. This is the framing that Section 12 recommendations address.

11, THE VERDICT

Cash transfer is a sound national response, under four conditions

VERDICT

Cash transfer is sound for consumption smoothing, monetary poverty reduction, and increased use of health and education services, provided that:

- (1) the transfer is at or above **20 per cent of beneficiary household consumption**;
- (2) the **supply-side services** that conditionality references are functional;
- (3) the **institutional architecture** survives political transition;
- (4) the programme is **evaluated with a design** capable of isolating programme effect from selection effect.

Cash transfer is **unsound** as a national response for learning quality improvement, child growth trajectory change, sustained employment creation, or structural poverty reduction. These objectives require complementary interventions that sit outside the cash transfer design.

Nigeria fails three of the four conditions. Transfer adequacy, supply-side readiness, and evaluation infrastructure are all absent or below threshold. Institutional permanence remains vulnerable, as the 12.5-month suspension of 2024 demonstrated.

What the instrument earns

Five reliable returns are documented across the 201-study evidence base: consumption gains, food expenditure gains, monetary poverty reduction, enrollment gains under enforced conditionality, and health service utilization gains under both conditional and unconditional designs. The long-term returns are documented in one country (Parker and Vogl, 2018 on Mexico) and whether they generalize is not established.

What the instrument costs

Fiscal cost ranges from 0.08 per cent of GDP (Paraguay, Chile) to 0.50 per cent (Brazil, Mexico). Nigeria at approximately 0.07 per cent of GDP sits below the lower bound of the Latin American range. The fiscal cost is not the binding constraint. Transfer inadequacy is.

Where the balance falls for Nigeria

The instrument is worth keeping. The conditions of its deployment must change. The recommendations in the next section name the design parameters that would align Nigerian deployment with the conditions the international evidence requires, without abandoning the instrument itself.

12, THE RECOMMENDATIONS

Seven design changes for Nigeria's Cash Transfer Architecture

Each recommendation names the design parameter to change, the specific action required, and the evidence that justifies the change. Every element has a precedent in the country evidence this brief has reviewed. None requires institutional invention. All require political will and fiscal allocation.

R1

Raise the transfer and index it

Current position: NGN 5,000 per month, unchanged since 2016. Approximately 6 to 7 per cent of beneficiary consumption. Real value below USD 4 in 2026.

Required position: NGN 15,000 to 20,000 per month, indexed to the NBS Food CPI on a semi-annual basis. Adequacy target: 15 to 20 per cent of beneficiary consumption.

Evidence: Bastagli et al. (2016) identify 20 per cent of consumption as the threshold above which welfare and productive effects appear consistently. LEAP at 13 per cent produced no stunting effect. CT-OVC at 20 per cent produced significant protective effects. The absence of indexation is the single largest driver of Nigeria's real-value collapse.

R2

Make supply-side readiness a precondition for conditionality

Current position: Conditionality is nominal in the design and not enforced against supply availability. Where the school or clinic is absent, the household is theoretically excluded from the top-up but in practice receives the base transfer without meeting the condition.

Required position: Annual supply-side readiness audit at LGA level. Where the school or clinic is unavailable or non-functional, the transfer in that geography converts to unconditional. Conditionality applies only where the compliance behaviour is feasible.

Evidence: Indonesia's PKH softened compliance in underserved districts (de facto UCT). Bolivia's Bono Juancito Pinto adopted a universalist design because CCT could not function with weak supply-side. Both cases show the instrument adapting rather than failing.

R3

Blend the design by beneficiary age

Current position: Uniform soft conditionality across ages, weakly enforced.

Required position: Hard conditionality for ages 6 to 14, where the enrollment effect is largest and the risk of adverse compositional effects is lowest. Soft conditionality for ages 15 to 17. Unconditional for ages 18 and above.

Evidence: Baird, McIntosh, and Özler (2011) in Malawi Zomba document that CCT wins for enrollment but excludes the most vulnerable adolescents (higher pregnancy and marriage risk). UCT retains them at the cost of smaller enrollment gains. Akresh, de Walque, and Kazianga (2013) in Burkina Faso confirm the marginal-child hypothesis: CCT wins for children whom parents would not enroll otherwise.

R4**Anchor the programme in legislation, not in a ministerial project unit**

Current position: NASSCO and NCTO sit under the Federal Ministry of Humanitarian Affairs. Ministerial discretion can halt disbursement, as the January 2024 suspension demonstrated.

Required position: Statutory autonomous agency, established by an Act of the National Assembly, with legislated funding, protected mandate, and independent board.

Evidence: Brazil's Bolsa Familia survived four administrations through a federal-to-municipal delivery architecture that neither level can unilaterally halt. Nicaragua's RPS died when the domestic constituency evaporated. Institutional durability requires anchoring outside the political principal.

R5**Design the evaluation from inception**

Current position: NASSP impact evaluation was not completed at project close. Preliminary results only. Baseline was in fact a midterm survey (delivered 2019, after transfers had begun).

Required position: Prospective regression discontinuity or randomized assignment embedded in the delivery design from first disbursement, with pre-registered analysis plan and independent evaluation partner (J-PAL, IPA, or equivalent).

Evidence: Progresa's randomized rollout in 1998 is the precedent. Without a counterfactual, the programme cannot demonstrate its effect. Nigeria has adopted the instrument for its strongest-evidence domains without generating the evidence to confirm whether those effects materialize in the Nigerian context.

R6**Fix targeting accuracy**

Current position: 53 per cent of beneficiaries in the bottom two consumption quintiles against an 80 per cent target. PMT formula predates the 2018/19 NLSS. Urban NSR coverage below 10 per cent.

Required position: Two reforms. (1) Recalibrate the PMT formula using the 2018/19 NLSS data. (2) Integrate the NSR with the NIN database and the CBN financial-inclusion registry for cross-registry de-duplication and household-level verification.

Evidence: The IEG (2024) review documents targeting as the project's most significant design shortfall. The NASSP-SU PAD commits to PMT recalibration and RRR expansion, but operationalization has not been reported. Both are low-cost, high-return reforms.

R7**Protect the delivery system from political interference**

Current position: The January 2024 suspension froze NASSCO disbursements for 12.5 months. The presidential panel's findings were not published. Over NGN 30 billion recovered from microcredit streams was not remitted to the Treasury Single Account.

Required position: Three safeguards. (1) Fully digitized GRM with automatic escalation of unresolved grievances to the legislative oversight committee after 30 days. (2) Third-party monitoring reports published quarterly on a fixed schedule regardless of ministerial consent. (3) Straight-through disbursement processing to NUBAN accounts, removing ministerial discretion to halt payments.

Evidence: The NASSP-SU PAD commits to all three but they remain design commitments. Brazil achieved the equivalent through the Cadastro Único's municipal-level operation, a two-step process that neither federal nor municipal level can unilaterally halt.

FOLLOW-UP REPORTING

Unimplemented commitments watch list

Four commitments made by the World Bank and by NASSCO between 2016 and 2024 remain unimplemented at the time of writing. Each is documented in the source record and each affects the credibility of subsequent programme claims.

The NASSP impact evaluation, committed in the 2016 PAD (P151488) and reaffirmed under NASSP-SU, has not been completed. Preliminary results were reported at the ICR stage but the final impact evaluation report was not available at project close (F4a, IEG 2024).

The PMT targeting formula, in use since programme launch, predates the 2018/19 Nigeria Living Standards Survey. The NASSP-SU PAD commits to recalibration using the updated NLSS data. Operationalization has not been reported.

State-disaggregated beneficiary data are not publicly disclosed by NASSCO. Aggregate national figures appear in project reports; sub-national disaggregation would allow independent verification of the 53 per cent targeting accuracy finding at state level. The absence of disclosure is itself a finding.

The NASSP-SU first disbursement cycle completion status, as of the last publicly available World Bank Implementation Status Report, remains reported as ongoing without completion confirmation.

Where to go from here

The full brief (52 pages) carries the complete twelve-section argument, the 26-source evidence matrix, the classification of programmes by outcome type, the glossary, and the full reference list. Every claim in this executive summary traces to a named source in the full brief.

The reproducible analysis pipeline (Python notebook plus four source CSVs) sits in the same repository folder and permits regeneration of every chart in this summary. All materials are freely available under CC-BY.

CITED AS

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